required alternatively either to have paid dividends of a certain amount in five out of the last six years, or failing this, to meet more stringent requirements as to coverage of fixed charges. Public-utility companies are required either to have paid certain dividends in each of the five preceding years, or else to have earned an amount equal thereto. This provision falls into the error of the other statutes by possibly impelling payment of unearned dividends. The progressive idea appears in the converse side of the provision, which waives payment of dividends so long as they are earned.

RELATION OF EARNINGS TO INTEREST REQUIREMENTS

The present-day investor is accustomed to regard the ratio of earnings to interest charges as the most important specific test of safety. It is to be expected therefore that any detailed legislation governing the selection of bond investments would be sure to include minimum requirements in respect to this cardinal factor. Nevertheless the majority of the statutes cover this point in only a fragmentary and inadequate manner. The legislatures have relied to a considerable extent on their requirements as to the company's dividend record to assure a satisfactory earning power.[7] As we have just pointed out, this criterion is open to serious objection. The superiority of the New York statute is manifest chiefly in two provisions: first, its recognition of the prime importance of an adequate earnings record; and secondly, its consistent treatment of a company's *total* fixed charges as an indivisible unit.

Requirements of the New York Law. The requirements of the New York law with respect to *earnings coverage* may be summarized as follows:

In the case of railroad-mortgage bonds (or collateral-trust bonds equivalent thereto) and railroad-equipment obligations, the company must have earned its fixed charges $1\frac{1}{2}$ times in five out of the six years immediately preceding, and also in the latest year. If dividends have not been paid as stipulated, then the period is set at nine out of the ten preceding years.

---

[7] Vermont, for example, permits investment in bonds of New England railroads without any earnings test; in the case of other roads the fixed charges must not exceed 20% of the *gross* business. A record of continuous dividend payments is required in both cases.